

## SUBVERTICAL LENS

Installed residential equipment and protection plans convert essential household needs into recurring monthly billing. Pricing, premium-equipment mix and cross-sell support growth, while equipment exchange and reinstallation remain the central sustaining-capital burden.

| METRIC                                | ESTIMATE                          | ASSERTION                                                                                                                                                                                                                                                                               | CONFIDENCE |
|---------------------------------------|-----------------------------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|------------|
| Revenue growth                        | 5%                                | We use 5% because Enercare grew revenue 6% in 9M 2018 despite unit growth of only 0.6%, with pricing and mix doing most of the work. Reliance's low-single-digit customer growth before acquisitions supports a mature organic rate below the disclosed Enercare result.                | MEDIUM     |
| EBITDA margin                         | 53%                               | We use 53% just below Enercare's disclosed 56% margin because recurring water-heater rentals carry strong contribution, while Reliance's broader HVAC, technician, dispatch and transactional-service mix should dilute the pure rental result.                                         | MEDIUM     |
| Maintenance capex / revenue           | 12%                               | We use 12% to reflect recurring equipment replacement, removal and reinstallation: Enercare exchanged 33,600 assets in 9M 2018 and found used heaters uneconomic to redeploy, while Reliance cites 14-16-year equipment lives. Neither company provides a clean sustaining-capex split. | MEDIUM     |
| Customer tenor<br>INITIAL / EFFECTIVE | Initial / effective 7-10 / 18 yrs | The 7-10-year initial term comes directly from Reliance contract forms. We extend effective tenure to 18 years because billing can continue monthly, equipment can be replaced at the same address and Enercare reported only 1.9% rental attrition over nine months.                   | MEDIUM     |
| Utilization exposure                  | Low-Moderate                      | We classify exposure as Low-Moderate because an installed unit earns fixed monthly rent regardless of household usage. The residual risk is account vacancy, equipment removal and seasonal technician or installer capacity rather than consumption volume.                            | HIGH       |
| New-unit / customer payback           | 8 yrs                             | We use eight years by triangulating Reliance's C\$1,000-C\$5,500 installed cost against C\$20-C\$100-plus monthly rent, then allowing for installation, service and replacement reserves. Direct unit contribution is undisclosed.                                                      | MEDIUM     |
| B2B vs B2C                            | Predominantly B2C                 | We classify the model as predominantly B2C because roughly 95% of Enercare's rental portfolio was residential water heaters and Reliance primarily markets to homeowners. Builders and property managers may originate accounts, but households remain the economic center.             | HIGH       |

BUSINESS UNIVERSE

Both businesses monetize installed residential equipment and essential service continuity. The evidence bridge focuses on recurring rental and protection-plan economics, not one-time HVAC sales or service work.

Reliance Home Comfort

**Evidence.** Acquired in 2017 at about C\$4.6 billion enterprise value, Reliance grew from 1.8 million customers to 2.1 million by end-2023 and made two U.S. acquisitions in 2025. Terms show 7-10-year minimums, 14-16-year heater lives, included installation, repair and replacement, and C\$20-C\$100+ monthly rent.

**Business.** Reliance Comfort Limited Partnership serves more than 2 million customers, mainly in Ontario, with reported western Canadian, Georgia, and Florida operations. It rents and sells water heaters and HVAC and offers water purification, plumbing, electrical, smart-home, and protection plans.

**Economics.** The core unit is an installed asset at a residential address; plans and one-time jobs are separate units. Reliance funds equipment and installation, retains ownership, bills monthly, provides repair and replacement, and operates technicians, dispatch, and call centers. Essentiality, installation, budget smoothing, transfers, and replacement convenience support retention; moves, buyouts, switching, poor service, repricing, purchase, and technology migration drive churn. Used hardware has limited redeployment value, so the address relationship is the key residual asset.

Enercare

**Evidence.** In 9M 2018, contracted revenue was C\$332.0 million of C\$359.8 million total, EBITDA margin was 56%, units grew 0.6%, and 33.6 thousand assets were exchanged. Rental attrition was 1.9% versus 9.3% for plans. HVAC rentals generated three to five times heater revenue. Current post-privatization segment data are unavailable.

**Business.** Enercare is an Ontario-centric platform serving about 1.1 million customers. The relevant business is Home Services, excluding former Service Experts and submetering. It rents water heaters, HVAC, and water-treatment equipment, sells plans, and performs equipment sales and service, offering predictable cost and outsourced continuity for essential systems.

**Economics.** The core unit is an installed rental unit, about 95% residential water heaters historically; plans and one-time HVAC jobs are separate. Rentals were 73% of 2017 revenue and plans 20%. Heaters require little scheduled maintenance; HVAC and plans use more field labor. Ownership, installation, response, and buyout or useful-life terms support retention; moves, buyouts, switching, repricing, and poor service cause churn. Equipment is replaced rather than redeployed, making exchanges sustaining capital and allowing relationships to continue through replacement.

KEY DILIGENCE  
QUESTIONS

1 Separate recurring rentals and protection plans from one-time sales, service and acquisition-led growth.

2 Validate gross additions, attrition, exchange volume and direct service cost by cohort.

3 Test which installation spending is sustaining replacement rather than true growth capex.

SUBVERTICAL LENS

The core archetype is Quench's workplace point-of-use model: installed, provider-owned filtration equipment for a recurring fee. Route density and recurring billing support margins, while equipment ownership, service intensity and customer-site turnover constrain conversion and tenure.

| METRIC                                | ESTIMATE                             | ASSERTION                                                                                                                                                                                                                                                              | CONFIDENCE  |
|---------------------------------------|--------------------------------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-------------|
| Revenue growth                        | 8%                                   | We use 8%, below Quench's 13.6% organic growth in 2019, because that result is dated and current workplace demand is more exposed to office occupancy. Primo's Refill/Filtration growth is not a clean filtration-only measure.                                        | MEDIUM      |
| EBITDA margin                         | 28%                                  | The 28% estimate is anchored directly to Quench's 2019 result of \$32.4 million of EBITDA on \$115.2 million of revenue. Recurring fees support the margin, while technicians, travel, filters, sanitation and repairs constrain it.                                   | MEDIUM      |
| Maintenance capex / revenue           | 13%                                  | We use 13% because providers own a large installed fleet and must replace or refurbish returned systems while sustaining service vehicles and reinstallations. Quench had about 160,000 rental units, but filtration-specific sustaining capex is undisclosed.         | LOW         |
| Customer tenor<br>INITIAL / EFFECTIVE | Initial / effective 1-12 mos / 6 yrs | The short initial term reflects Quench's primarily month-to-month rentals and Primo's flexible cancellation language. We use six years of effective tenure because plumbing, recurring service and multi-unit relationships create operating stickiness.               | MEDIUM-LOW  |
| Utilization exposure                  | Moderate overall                     | We classify exposure as Moderate because fixed fees decouple revenue from water consumption, but a returned machine earns nothing until redeployed. Office occupancy, route density and productivity across Quench's 500-plus technicians remain meaningful variables. | MEDIUM      |
| New-unit / customer payback           | Equipment 2.7 yrs<br>CAC 1.0 yr      | Equipment payback is set at 2.7 years and CAC payback at one year because one acquired Quench account can support about 2.9 machines and recurring plans begin around \$28 monthly. Installed cost and unit contribution are undisclosed.                              | LOW         |
| B2B vs B2C                            | Predominantly B2B                    | We classify the core model as predominantly B2B because Quench explicitly serves workplaces and directs residential users elsewhere. Primo broadens the universe into homes and other channels, but its exact filtration customer mix is undisclosed.                  | MEDIUM-HIGH |

BUSINESS UNIVERSE

Point-of-use providers replace bottle logistics with installed filtration, recurring service and route density. Quench is the clean workplace B2B anchor; Primo remains a mixed reference because filtration is combined with other water channels.

AquaVenture Holdings / Quench

**Evidence.** FY2019 is the last standalone period. Quench had about 160,000 units and 55,000-plus customers, or 2.9 units per account, with \$115.2 million revenue, \$32.4 million adjusted EBITDA, 13.6% organic growth, and six acquisitions. Current materials describe mainly month-to-month rental and included service.

**Business.** The relevant AquaVenture operation is Quench, excluding Seven Seas Water and desalination. Quench USA, Inc., now a Culligan subsidiary, installs company-owned filtration dispensers for institutional and commercial workplaces in the U.S. and Canada. Fixed-fee plumbed filtration replaces bottle storage, handling, and delivery.

**Economics.** The core unit is a machine; CAC and tenure sit at the customer location. Monthly rent includes maintenance and filters; installation may be separate. Multiple machines spread account setup cost. More than 500 technicians install, inspect, sanitize, change filters, and repair, making route density central. Working equipment, included service, predictable bills, and re-plumbing support retention; office closure, relocation, downsizing, hybrid work, rebids, and poor service cause churn. Returns require recovery, refurbishment, and reinstallation before earning again.

Primo Water

**Evidence.** FY2023 combined Refill/Filtration revenue was \$226.9 million versus \$192.0 million, so filtration growth is not separable. Customer equipment had \$235.0 million net book value and 2-15-year lives but included many non-filtration assets. Cancellation is flexible.

**Business.** Primo Water's installed filtration offer now sits inside Primo Brands after the November 2024 transaction. It places company-owned carbon or reverse-osmosis systems in homes and businesses, with floor, countertop, and under-sink formats from \$27.99 monthly. It solves taste and convenience needs without bottle logistics or self-managed maintenance.

**Economics.** The core unit is a filtration system; the account governs CAC and cross-sell. Primo owns, installs, leases, maintains, filters, sanitizes, repairs, bills, and sometimes monitors devices. Rolling cancellation lowers sales friction but makes retention depend on convenience, service, price, moves, and cross-sell. Home/business reach reduces office concentration but fragments routes and creates internal purchase, refill, exchange, and delivery substitutes. Cancelled equipment must be recovered and redeployed.

KEY DILIGENCE QUESTIONS

1 Obtain filtration-only revenue, installed units, churn, net retention, margin, service cost and sustaining capex.

2 Separate organic placements and price from acquisitions at Quench and refill-driven growth at Primo.

3 Measure returned-unit recovery, refurbishment, redeployment and scrap rates by product family.

SUBVERTICAL LENS

Building billing platforms and meter-asset owners are economically distinct. Billing platforms earn recurring data and compliance fees with moderate reinvestment; meter owners report higher EBITDA but require materially heavier replacement capital and longer payback.

| METRIC                                | ESTIMATE                                                                           | ASSERTION                                                                                                                                                                                                                                                                                | CONFIDENCE        |
|---------------------------------------|------------------------------------------------------------------------------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-------------------|
| Revenue growth                        | Building <b>6%</b><br>Meter owner <b>7%</b>                                        | The 6% building-platform estimate is anchored near ista's 5.2% growth and normalizes Techem's stronger result. The 7% meter-owner estimate is deliberately below SMS's 13% ILARR growth because funded rollout and acquisitions inflated reported rates.                                 | <b>MEDIUM</b>     |
| EBITDA margin                         | Building <b>47%</b><br>Meter owner <b>60%</b>                                      | The 47% building estimate is anchored to Techem's roughly 48% disclosed margin and ista's 40%-plus evidence. The 60% meter-owner estimate sits between SMS at about 47% and Calisen at 74%, recognizing that replacement capital sits below EBITDA.                                      | <b>MEDIUM</b>     |
| Maintenance capex / revenue           | Building <b>9%</b><br>Meter owner <b>30%</b>                                       | We use 9% for building platforms because they replace relatively inexpensive devices, batteries, communications equipment and IT. We use 30% for meter owners because their owned estates require heavy replacement capital, although the sustaining portion is not separately reported. | <b>MEDIUM-LOW</b> |
| Customer tenor<br>INITIAL / EFFECTIVE | Building <b>8 / 14 yrs</b><br>Meter owner <b>3 / 13 yrs</b>                        | Building contracts need enough initial term to amortize installation, while embedded devices, billing history and data migration extend the relationship to roughly 14 years. Meter-owner legal terms can be short, but revenue can survive supplier switching for 12-15 years.          | <b>MEDIUM-LOW</b> |
| Utilization exposure                  | Building <b>Low</b><br>Meter owner <b>Moderate</b>                                 | Building-platform exposure is Low because installed meters continue earning regardless of daily consumption. Meter-owner exposure is Moderate because installation throughput, supplier rollout decisions, meter removals and field-team productivity still matter.                      | <b>MEDIUM</b>     |
| New-unit / customer<br>payback        | Building <b>4.0 yrs</b><br>Meter owner <b>6.0 yrs</b>                              | The four-year building estimate centers the ista, Techem and CARMA cases, where lower-cost devices earn billing and data fees. The six-year meter-owner estimate sits between SMS at 5.5 years and Calisen at 6.5 years.                                                                 | <b>MEDIUM-LOW</b> |
| B2B vs B2C                            | Building <b>B2B; residential end users</b><br>Meter owner <b>Predominantly B2B</b> | Building owners and managers contract for submetering even when residents consume the utility and receive bills. Meter owners contract with energy suppliers or retailers, making both archetypes economically B2B.                                                                      | <b>HIGH</b>       |

BUSINESS UNIVERSE

The six companies span building billing, meter-asset ownership and a mixed metering platform. Their profiles show why similar recurring-revenue labels conceal different field-service, replacement-capital and contract economics.

Energy Assets

**Evidence.** More than 1.5 million managed assets.  
**Business.** UK metering-and-data provider inside a wider network construction, ownership, water, fibre, and utility-services platform; customers need compliant metering, data, and field service.  
**Economics.** Unit: installed asset with attached data/service. Revenue mixes recurring fees with installation and maintenance. Integrated workflows aid retention; project exposure and segment contamination weaken comparability. Capital supports meters, communications, IT, and vehicles.

ista

**Evidence.** 45 million-plus devices, 14 million-plus units, 460,000-plus customers, EUR1,279 million 2025 sales, and EUR260 million investment.  
**Business.** European platform installing apartment meters and allocators, then providing recurring consumption allocation, billing, data, and sustainability workflows to owners and managers.  
**Economics.** Unit: managed dwelling/device footprint. Regulation-shaped demand and dense estates support margin; access, hardware, resident communication, and data migration deter switching. Capital refreshes devices, batteries, communications, and digital infrastructure.

Techem

**Evidence.** 13 million-plus dwellings, 62-70 million devices; 2025 submetering revenue EUR1,041.5 million and group EBITDA EUR557 million.  
**Business.** European provider installing apartment devices and monetizing recurring heating/water allocation, billing, data, and digital building services for owners and managers.  
**Economics.** Unit: serviced dwelling/device set. Regulation-shaped demand, radio infrastructure, and embedded billing deter switching; field service and procurement remain costs. The benchmark excludes energy contracting.

Smart Metering Systems

**Evidence.** Combined group: 6 million-plus meters in 2025.  
**Business.** UK platform funding, installing, and managing supplier-facing smart meters for recurring rent and data income; batteries and EV-charging are excluded.  
**Economics.** Unit: owned contracted meter. Ownership and workflow integration support tenure; rollout and supplier procurement drive growth and service utilization. Hardware-plus-installation makes replacement capital heavy.

Calisen

**Evidence.** 2023: 15.2 million meters, GBP293.9 million MAP revenue, GBP265.4 million EBITDA, GBP355.5 million capex, GBP219 meter capex, GBP23.8 ARPM.  
**Business.** UK asset owner funding meters for energy retailers; the benchmark centers on MAP Services and excludes EV charging, heat pumps, and other transition activities.  
**Economics.** Unit: owned revenue-generating meter. Policy drives installs; charges can survive supplier switching. Month-to-month legal orders contrast with 10-20-year economics. High EBITDA requires heavy replacement capital.

CARMA

**Evidence.** 135,000-plus units in 1,000-plus buildings across four provinces; long-term inflation-protected contracts and 11 million-plus daily reads.  
**Business.** Canadian suite-level metering and billing platform helping owners and managers allocate utilities, provide consumption visibility, and administer resident accounts.  
**Economics.** Unit: contracted metered suite. Devices, data, billing, and move workflows deter switching; property decisions or service failures cause churn. Capital funds meters, communications, IT, and reinstallation.

KEY DILIGENCE QUESTIONS

1 Obtain clean metering-segment financials for Energy Assets and CARMA.

2 Separate rollout and acquisition capex from true estate replacement at SMS and Calisen.

3 Confirm standard contract terms, renewal cohorts and churn for ista and Techem.

## SUBVERTICAL LENS

Two models should remain separate: installed onsite oil systems and route-based collection, treatment and processing. Onsite embedding supports tenure; route density and owned treatment support margin, but increase fleet and plant utilization exposure.

| METRIC                                       | ESTIMATE                                                          | ASSERTION                                                                                                                                                                                                                                                                                           | CONFIDENCE        |
|----------------------------------------------|-------------------------------------------------------------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-------------------|
| <b>Revenue growth</b>                        | Onsite <b>8%</b><br>Route <b>9%</b>                               | We use 8% for onsite systems because growth combines installed-kitchen wins, pricing and throughput across RTI's 45,000-plus sites. We use 9% for route processors because density, cross-sell and treatment throughput offer modestly more upside.                                                 | <b>MEDIUM</b>     |
| <b>EBITDA margin</b>                         | Onsite <b>21%</b><br>Route <b>28%</b>                             | The 21% onsite estimate reflects sticky service and recovered-oil value offset by fresh-oil, installation, depot and field costs. The 28% route estimate is set below LES's 30%-plus result to allow for mixed services and third-party disposal.                                                   | <b>MEDIUM</b>     |
| <b>Maintenance capex / revenue</b>           | Onsite <b>3.5%</b><br>Route <b>5.0%</b>                           | We use 3.5% for onsite systems to sustain tanks, pumps, filtration, monitoring and service vehicles, and 5% for route processors because they also maintain vacuum fleets and treatment plants. Clean maintenance-capex splits are unavailable.                                                     | <b>MEDIUM-LOW</b> |
| <b>Customer tenor</b><br>INITIAL / EFFECTIVE | Onsite <b>4 / 9 yrs</b><br>Route <b>2 / 7 yrs</b>                 | Onsite systems receive longer initial and effective tenure because embedded equipment and workflow integration make switching disruptive. Route agreements are easier to rebid, but recurring compliance needs, route reliability and bundled services extend relationships beyond the formal term. | <b>MEDIUM-LOW</b> |
| <b>Utilization exposure</b>                  | Onsite <b>Moderate</b><br>Route <b>Moderate-High</b>              | Onsite exposure is Moderate because deployed equipment remains in place, but gallons per kitchen and depot density affect economics. Route exposure is Moderate-High because stops per route, truck productivity and plant throughput determine contribution.                                       | <b>MEDIUM</b>     |
| <b>New-unit / customer payback</b>           | Onsite <b>2.5 yrs</b><br>Route <b>1.25 yrs</b>                    | The 2.5-year onsite estimate allows recovery of hardware, installation and route support from the full customer relationship. The 1.25-year route estimate applies only to an incremental customer added within an existing dense market.                                                           | <b>MEDIUM-LOW</b> |
| <b>B2B vs B2C</b>                            | Onsite <b>Predominantly B2B</b><br>Route <b>Predominantly B2B</b> | Both archetypes are predominantly B2B because RTI serves commercial kitchens and institutions, while LES and WRM focus on commercial and industrial generators. Wind River's residential exposure does not change the route-processing center.                                                      | <b>HIGH</b>       |

BUSINESS UNIVERSE

All four businesses solve recurring oil or wastewater needs, but the bottleneck differs: installed customer-site systems versus dense routes and permitted treatment capacity. That distinction drives the estimates.

Restaurant Technologies

**Evidence.** 45,000-plus kitchens, 41 depots, 1,200-plus employees; about 60% of 2022 revenue was QSR-related. Margin, capex, terms, and payback are derived; S&P reported 2024 cash deficits despite durable revenue.

**Business.** Installs automated cooking-oil systems and provides fresh-oil delivery, filtration, monitoring, used-oil removal, and recycling, solving kitchen labor, safety, quality, and disposal problems.

**Economics.** Unit: installed location; gallons measure usage and depot routes service capacity. Revenue mixes product, service, equipment, and recovery value. Equipment/workflow embedding retains customers; closures, operator changes, low throughput, service failures, or repricing cause churn. Capital funds onsite systems, vehicles, and depots.

Liquid Environmental Solutions

**Evidence.** 1,020 employees, 670 vehicles, 95 facility/partner sites, 129,500 locations; earlier 24 plants and 300-plus vacuum trucks. S&P supports margins above 30%.

**Business.** Collects, transports, treats, recycles, and disposes of grease, used oil, wastewater, grit, and related streams for commercial/industrial customers needing recurring sanitation and compliance.

**Economics.** Units: route customer for payback, truck/route for utilization, treatment plant for margin. Revenue mixes service, hauling, treatment/disposal, and recovery value. Plants and permits capture spread; recurring need, reliability, and processing access retain accounts. Poor service, pricing, dense rivals, or partner dependence create churn/margin risk.

Waste Resources Management

**Evidence.** 10,000-plus clients, four states, 300-plus employees; a 2026 deal adds 13 metros. Mixed McDonald Farms services reduce purity.

**Business.** Grease-centered platform collecting, processing, transporting, and recycling liquid waste while cross-selling jetting, trap repair, plumbing, septic, sludge, and remediation to commercial/institutional sites.

**Economics.** Unit: route customer linked to shared processing. Revenue mixes collection, treatment, recovery, transport, and field work. Vertical integration and bundled reliability retain accounts; switching remains easier than onsite equipment. Capital includes vacuum trucks, specialty units, pumps, tanks, and processing assets.

Wind River Environmental

**Evidence.** 1,100-plus experts, 1,000 vehicles, 100 teams, 16 states, 90-plus acquisitions, 16 plants processing 200 million-plus gallons. Only clearly mixed B2B-B2C company.

**Business.** East Coast consolidator spanning residential septic, commercial grease, plumbing/drains, municipal-industrial wastewater, specialty services, and treatment management, solving backup, compliance, and downtime risks.

**Economics.** Unit: route/service customer; plants drive network margin. Revenue mixes routes, septic cycles, emergencies, and projects. Local trust, recurring need, disposal access, and response retain customers; service inconsistency, competition, and integration cause churn. Its varied fleet/plants create density but heavy maintenance and mixed-business exposure.

KEY DILIGENCE QUESTIONS

1 Obtain standalone revenue, EBITDA and organic growth for all four private businesses.

2 Confirm contract forms, renewal mechanics and customer churn by service line.

3 Build maintenance capex by onsite systems, vehicles, treatment plants and safety assets.



# Transportation Solutions Operating Benchmark

PAGE 1 | ESTIMATES

## SUBVERTICAL LENS

Four models require separate estimates: railcar leasing, locomotive leasing, airport GSE leasing and outsourced yard logistics. Asset lessors earn higher margins with heavier reinvestment; yard logistics is labor-led, lower-margin and much lighter-capital.

| METRIC                                | ESTIMATE                            |                        | ASSERTION                                                                                                                                                                                                                                                                 | CONFIDENCE  |
|---------------------------------------|-------------------------------------|------------------------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-------------|
| Revenue growth                        | Railcar <b>4%</b>                   | Loco <b>6%</b>         | Railcar growth is held to 4% because mature fleets depend mainly on rate, utilization and measured additions; locomotives receive 6% for modernization demand. GSE and yard services receive 8% and 7% for outsourcing, electrification and new-site wins.                | MEDIUM      |
|                                       | GSE <b>8%</b>                       | Yard <b>7%</b>         |                                                                                                                                                                                                                                                                           |             |
| EBITDA margin                         | Railcar <b>58%</b>                  | Loco <b>62%</b>        | Railcar and locomotive estimates remain high because lease revenue sits on long-lived assets; the 62% locomotive estimate is normalized below Akiem's roughly 68% result. GSE carries workshop costs, while yard services are labor-led.                                  | MEDIUM      |
|                                       | GSE <b>30%</b>                      | Yard <b>14%</b>        |                                                                                                                                                                                                                                                                           |             |
| Maintenance capex / revenue           | Railcar <b>18%</b>                  | Loco <b>18%</b>        | Railcar and locomotive estimates reflect overhaul, replacement, compliance and ERTMS work; GSE's 14% reflects refurbishment, batteries and workshop support. Yard services require only tractors and technology at 4%.                                                    | MEDIUM      |
|                                       | GSE <b>14%</b>                      | Yard <b>4%</b>         |                                                                                                                                                                                                                                                                           |             |
| Customer tenor<br>INITIAL / EFFECTIVE | Railcar <b>4 / 9 yrs</b>            | Loco <b>7 / 12 yrs</b> | Initial terms lengthen with asset value, approval burden and mobilization complexity, making locomotives longest and yard contracts shortest. Effective tenure is longer because fleets, airport packages and embedded yard operations are commonly renewed or refreshed. | MEDIUM      |
|                                       | GSE <b>5 / 9 yrs</b>                | Yard <b>3 / 7 yrs</b>  |                                                                                                                                                                                                                                                                           |             |
| Utilization exposure                  | Railcar <b>Moderate</b>             | Loco <b>Moderate</b>   | Rail exposure is Moderate because leased deployment matters but assets can be redeployed across long economic lives. GSE adds station activity and spare-fleet risk, while yard services are High because contribution depends on productive labor hours.                 | MEDIUM-HIGH |
|                                       | GSE <b>Moderate-High</b>            | Yard <b>High</b>       |                                                                                                                                                                                                                                                                           |             |
| New-unit / customer<br>payback        | Railcar <b>9 yrs</b>                | Loco <b>10 yrs</b>     | Rail assets receive nine-to-ten-year paybacks because high upfront cost must be recovered over multiple placements and residual value matters. GSE is cheaper but service-heavy at 5.5 years, while yard launch spend can recover in about 1.5 years.                     | MEDIUM      |
|                                       | GSE <b>5.5 yrs</b>                  | Yard <b>1.5 yrs</b>    |                                                                                                                                                                                                                                                                           |             |
| B2B vs B2C                            | All models <b>Predominantly B2B</b> |                        | All four models are predominantly B2B because contractual buyers are rail operators, public authorities, airports, ground handlers, industrial firms and logistics providers. The benchmarked operations have no meaningful direct consumer revenue.                      | HIGH        |

BUSINESS UNIVERSE

Five businesses map to four models: railcar, locomotive, airport GSE and yard logistics. The economic unit shifts from an earning asset, to a station fleet package, to a site contract and productive service hour.

VTG

**Evidence.** 2024: EUR405m operating cash flow and EUR536m fixed-asset investment, mainly new wagons and maintenance; tank utilization stayed high while intermodal softened.

**Business.** Leases and manages European freight wagons for industrial shippers and rail operators.

**Economics.** Unit: earning wagon; revenue: recurring lease plus services. Customers avoid capital and secure compliant, cargo-specific capacity. VTG maintains and redeploys fleets; integration retains customers, while lane loss and intermodal weakness create churn.

Akiem

**Evidence.** 2021: 600+ locomotives, 46 passenger trains, about EUR220m revenue and EUR150m EBITDA.

**Business.** Leases and maintains locomotives and some passenger rolling stock across Europe.

**Economics.** Unit: locomotive under lease/full service. Operators outsource scarce, compliant traction. Akiem runs workshops, overhauls and upgrades; approvals and uptime support retention, while concession loss or technical mismatch cause churn.

Air Rail

**Evidence.** IFM owns 75%. March 2026: 4,700+ units, about 60 airports, eight countries and 68% of motorized units electric.

**Business.** AIR RAIL, S.L. leases, maintains and refurbishes airport GSE; it also has rail activities.

**Economics.** Unit: deployed GSE/station package. Rental, maintenance, parts and resale solve airline/handler capex and uptime needs. Airport service embeds relationships; rebids and transfer friction cause churn. Fleets, batteries and charging drive capital needs.

TCR

**Evidence.** 44,000+ assets, 100+ workshops, 1,800+ employees, 24 countries and 200+ airports.

**Business.** Rents, maintains, refurbishes and electrifies GSE for airlines, handlers and airports.

**Economics.** Unit: GSE/airport fleet package. Full-service rent and lifecycle services solve turnaround uptime and capital needs. Workshops, technicians and spares embed TCR; handler rebids drive churn. Scale aids utilization but requires renewal and reserve fleet.

Lazer Logistics

**Evidence.** EQT reports 550+ sites, 5,000 employees, 6,000 fleet assets and 9m annual service hours.

**Business.** Runs warehouse and industrial yards using drivers, equipment, processes and technology.

**Economics.** Unit: site contract/service hour. Recurring site and labor revenue solves trailer-flow bottlenecks. Lazer staffs and supervises yards; integration supports retention, while rebids, closures and volume loss cause churn. Labor utilization dominates limited equipment capital.

KEY DILIGENCE QUESTIONS

1 Keep the four archetypes separate; asset ownership and labor intensity drive the economics.

2 Obtain gross replacement, refurbishment, electrification and growth-fleet capex splits.

3 Measure paid utilization, off-lease days and redeployment cost by asset family.

# Specialty Rental Operating Benchmark

PAGE 1 | ESTIMATES

## SUBVERTICAL LENS

Consumer storage, B2B storage, modular space and trench safety differ in rental duration, service intensity and capital recovery. Simple standardized assets generally support stronger margins and conversion, while modular and project-driven fleets carry greater reset or utilization risk.

| METRIC                                | ESTIMATE                            |                                         | ASSERTION                                                                                                                                                                                                                                                                  | CONFIDENCE  |
|---------------------------------------|-------------------------------------|-----------------------------------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-------------|
| Revenue growth                        | Consumer <b>4%</b>                  | B2B storage <b>5%</b>                   | Consumer and B2B storage estimates are anchored to Mobile Mini's 4% rental-revenue growth and rate-led model. Modular and trench receive 6% because fleet additions, project pipelines, branch expansion and utility work offer more growth.                               | MEDIUM      |
|                                       | Modular <b>6%</b>                   | Trench <b>6%</b>                        |                                                                                                                                                                                                                                                                            |             |
| EBITDA margin                         | Consumer <b>33%</b>                 | B2B storage <b>40%</b>                  | B2B storage is set at 40% near Mobile Mini's disclosed 41% margin because simple steel containers have limited service needs. Modular, trench and consumer storage remain in the low-to-mid-30s because installation, engineering, hauling and delivery add cost.          | MEDIUM      |
|                                       | Modular <b>34%</b>                  | Trench <b>33%</b>                       |                                                                                                                                                                                                                                                                            |             |
| Maintenance capex / revenue           | Consumer <b>7%</b>                  | B2B storage <b>6%</b>                   | The estimates reflect long asset lives and strong residual values, including Mobile Mini's 30-year container life and 55% residual assumption. Modular carries the highest requirement for refurbishment and resets; clean sustaining splits are unavailable.              | MEDIUM-LOW  |
|                                       | Modular <b>8%</b>                   | Trench <b>7%</b>                        |                                                                                                                                                                                                                                                                            |             |
| Customer tenor<br>INITIAL / EFFECTIVE | Consumer <b>1 / 8 mos</b>           | B2B storage<br><b>3 mos / 4 yrs</b>     | Initial duration follows the use case: consumer moves and trench phases are short, commercial containers extend month by month, and modular space remains through school years or project phases. Effective B2B tenure is longer because customers return across projects. | MEDIUM      |
|                                       | Modular<br><b>18 mos / 7 yrs</b>    | Trench <b>2 mos / 5 yrs</b>             |                                                                                                                                                                                                                                                                            |             |
| Utilization exposure                  | Consumer<br><b>Moderate-High</b>    | B2B storage<br><b>Moderate</b>          | B2B storage and modular are Moderate because standardized fleets can be redeployed and disclosed utilization has generally been 73%-86%. Consumer storage adds delivery and yard exposure, while trench inventory rolls off with project completion.                       | MEDIUM      |
|                                       | Modular <b>Moderate</b>             | Trench <b>High</b>                      |                                                                                                                                                                                                                                                                            |             |
| New-unit / customer payback           | Consumer <b>3.5 yrs</b>             | B2B storage <b>4.5 yrs</b>              | The estimates center on General Finance's statement that equipment cost could be recovered through revenue in about four years, then adjust for direct cost and maintenance. Modular takes longest because of higher installed cost; residual value protects downside.     | MEDIUM      |
|                                       | Modular <b>6.0 yrs</b>              | Trench <b>3.5 yrs</b>                   |                                                                                                                                                                                                                                                                            |             |
| B2B vs B2C                            | Consumer<br><b>Mixed; B2C lean</b>  | B2B storage<br><b>Predominantly B2B</b> | Consumer storage is mixed with a B2C lean because household moves are a material demand source. Storage, modular and trench customers are principally contractors, companies, schools, institutions, government bodies and utilities.                                      | MEDIUM-HIGH |
|                                       | Modular<br><b>Predominantly B2B</b> | Trench<br><b>Predominantly B2B</b>      |                                                                                                                                                                                                                                                                            |             |

BUSINESS UNIVERSE

Six resolved operators map to consumer storage, B2B storage, modular space and trench safety. Reliant Rental remains unresolved and is explicitly excluded from the estimates.

PODS

**Evidence.** 2m+ long-distance moves and 7m+ deliveries. Q3 2024 sales fell 7.5%, EBITDA 24%; ranges are Low confidence.

**Business.** Delivers containers for residential and commercial moving/storage.

**Economics.** Unit: container-month plus move event; revenue is rent and logistics fees. Customers solve moves or renovations. PODS runs drivers, yards and linehaul; life-event completion causes churn.

Mobile Mini

**Evidence.** 2019 standalone: \$490.7m Storage revenue, 41.0% margin, 79.1% unit utilization; assets had 30-year lives and 55% residuals.

**Business.** Rented storage containers and ground-level offices to commercial users.

**Economics.** Unit: box on rent; revenue was mostly rental. Branches deliver and refurbish simple assets solving temporary jobsite needs. Projects end placements, but accounts repeat. Long lives and residuals limit capital needs.

Trench Plate Rental

**Evidence.** Pre-2021 merger: 37 branches and 5,000+ customers.

**Business.** Rented trench plates, shoring and safety systems to contractors and utilities.

**Economics.** Unit: jobsite equipment set; revenue is rental/support. Branches solve mandatory excavation safety, then inspect and redeploy steel. Projects end rentals, but contractors repeat.

General Finance Corporation

**Evidence.** FY2020: \$164.7m North America and \$63.1m Asia-Pacific leasing revenue; 70%-85% utilization, 20-30-year lives, residuals up to 70%.

**Business.** Rented containers, mobile offices and modular units through regional brands.

**Economics.** Unit: fleet asset; revenue is lease plus sales. Customers need temporary space. GFC delivered, maintained and re-leased units; projects cause churn, while accounts repeat.

Modulaire Group

**Evidence.** 330,000 units, 52,000+ customers. 1Q22: EUR370m revenue, EUR116m EBITDA, 86% utilization; capex precision is weaker.

**Business.** Rents and installs modular space for public, infrastructure and enterprise users.

**Economics.** Unit: module on rent; revenue is lease/service. Customers need temporary space. Modulaire transports, installs and refurbishes units; installation and repeat projects support retention. Resets and yards raise capital needs versus containers.

McGrath RentCorp

**Evidence.** 2025: modular utilization 73.0%, storage 60.8%. Lives/residuals: modular 18 years/50%; storage 25 years/62.5%.

**Business.** Rents modular buildings and storage containers to businesses and institutions.

**Economics.** Unit: module/container; revenue is rent plus delivery/service. Customers need classrooms, jobsite space or storage. McGrath installs and refurbishes; repeat accounts outlast placements. Strong residuals limit replacement, though modular resets consume capital.

UNRESOLVED IDENTITY - EXCLUDED FROM ESTIMATES

Reliant Rental

No standalone specialty-rental operator is resolved; evidence points only to a Vander/BlueLine brand candidate. A 2014 trademark links Reliant to Vander; BlueLine sold in 2018.

KEY DILIGENCE QUESTIONS

- 1 Keep consumer storage, B2B storage, modular space and trench safety separate.
- 2 Use gross replacement and refurbishment requirements rather than depreciation or net capex.
- 3 Track physical and dollar utilization with consistent denominators across each fleet.